

Avoiding the British

Brexit and Partner Choice in European Venture Capital

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September 9, 2026

Outline

- 1 The fact
- 2 Literature
- 3 Data
- 4 Design
- 5 Results
- 6 Non-results
- 7 Mechanism
- 8 Takeaways

European VCs stopped picking British partners

Among continental VCs that all had a British co-investor before 2014, the most exposed cut their UK-partner rate by **8.2 points** relative to the least exposed.

- 95% CI $[-13.1, -3.2]$, against a control base rate of 18.7%
- a relative decline of forty-four percent
- dated on the referendum, sustained over nine years

No rule governing syndication changed at any point in the sample.

Nothing else moved

Outcome	Estimate	Verdict
UK-partner rate (pp)	-8.20	Identified
Dyad survival, triple diff. (pp)	+0.30	Precise null
Corridor volume (log pts)	+0.03	Precise null
Activity, window [0, 6] (pp)	+3.18	Not identified
British side, first stage (pp)	-6.01	Not identified

Volumes, relationships, activity and downstream outcomes are unchanged.
The shift is compositional: who is picked, not how much is invested.

Where this sits

- **Syndication networks.** Homophily and repeated ties govern partner choice (Hochberg et al. 2007; Bottazzi et al. 2016). We ask what a political boundary does to them.
- **Brexit and finance.** Real effects on trade and investment are documented; the syndication margin is not.
- **Identification under market-wide shocks.** When every unit is treated, a design without an untreated group does not lose precision — it manufactures mechanisms.

Crunchbase, all rounds with at least one continental European investor, 2004–2025.

- Exposure classified on pre-2014 deals only — no contamination by anticipation
- 2014–2015 held out to test parallel trends
- Ireland excluded from the continental vector; the estimate moves from -8.2 to -8.0 when it is included

What Crunchbase does not see: the early-stage tail, peripheral markets, and the limited partners behind the investors.

The problem: there is no untreated unit

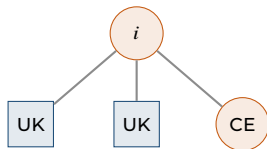
A referendum hits every European investor at once. The textbook contrast does not exist.



Every candidate control also faces the shock. Identification comes from pre-determined exposure, and from a protocol applied to placebo corridors.

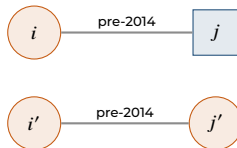
Three units of observation, three contrasts

(a) Investor



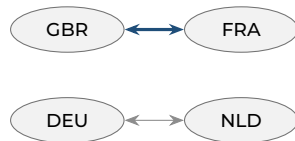
$y = 1\{\text{UK tie this semester}\}$
high vs. low exposure
448 investors: 216 / 232

(b) Dyad



$y = 1\{\text{pair still co-invests}\}$
UK-CE vs. CE-CE $\times$ post
1,347 UK / 7,224 CE pairs

(c) Corridor



$y = \log \text{ joint deals}$
18 UK vs. 55 CE corridors
same outcome for both

The three equations

Investor. Within-exposed difference-in-differences, net of size:

$$y_{is} = \beta (\text{high}_i \times \text{post}_s) + \gamma (\text{small}_i \times \text{post}_s) + \alpha_i + \delta_s + \varepsilon_{is}$$

Dyad. Triple difference on pre-2014 pairs:

$$y_{ds} = \beta_3 (\text{post}_s \times \text{UK}_d) + \Gamma X_{ds} + \alpha_d + \delta_s + \varepsilon_{ds}$$

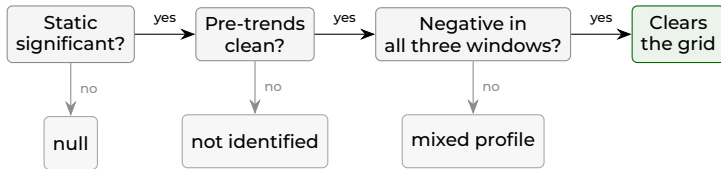
Corridor. Same outcome for UK and continental country pairs:

$$\log v_{cs} = \beta (\text{post}_s \times \text{UK}_c) + \alpha_c + \delta_s + \varepsilon_{cs}$$

Wild-cluster bootstrap- t throughout; CIs by inverting the bootstrap distribution.

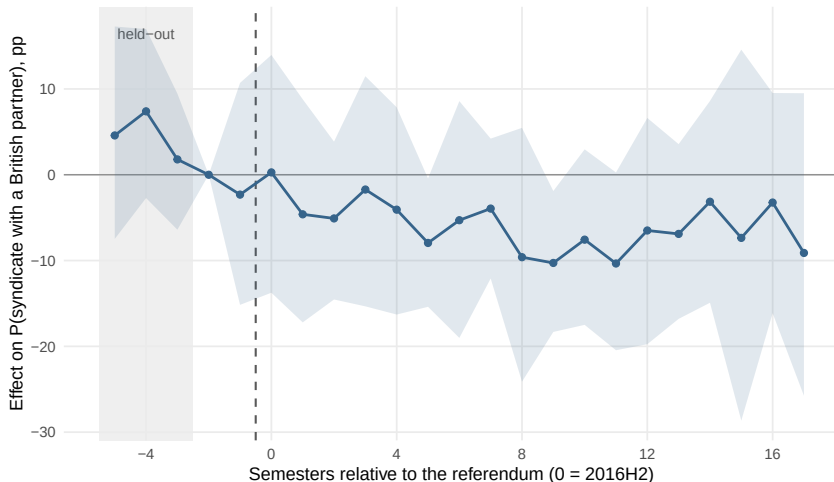
One protocol, fixed before looking

The same grid decides the British corridor and the twelve placebos.



Windows: H2 2016–2019, 2020–21, 2022–25. Verdicts are assigned mechanically.

The decline begins at the referendum and does not reverse

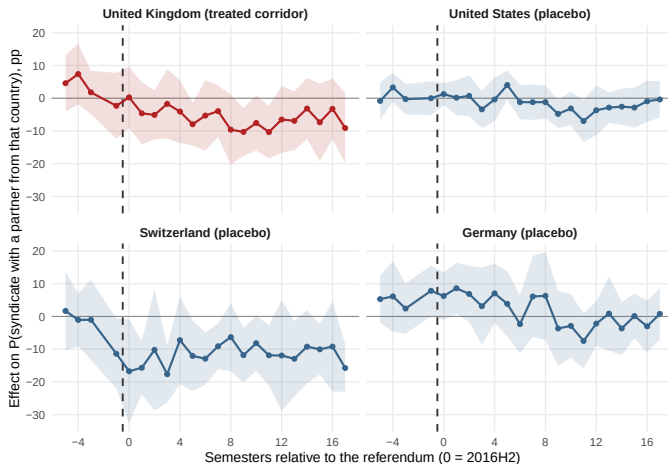


Eleven of thirteen corridors return nothing

Partner	Static (pp)	Pre-trends	Windows	Verdict
GBR	-8.2	0.52 / 0.70	all negative	Clears the grid
CHE	-9.2	0.98 / 0.83	all negative	Clears the grid
DEU	-3.0	0.64 / 0.47	nothing in [0, 6]	mixed profile
SWE, BEL	—	≤ 0.05	—	pre-trends fail
Eight others	—	—	—	null

The static filter admits two corridors. The timing admits one.

Only the British corridor is dated on the vote



Switzerland breaks at $\tau = -1$ — the campaign semester, before the vote.

Exposure is a share, and its denominator is size

The estimate does not come from small, young or inactive firms.

Specification	Estimate (pp)	<i>p</i>
Baseline	-8.20	0.000
+ founding year $\times$ post	-8.30	0.000
Semester $\times$ founding cohort	-8.15	0.000
Semester $\times$ activity quartile	-9.68	0.006
Semester $\times$ cohort $\times$ size	-8.18	0.000
≥ 20 pre-2014 deals	-8.52	0.026

Treated investors are 1.4 years younger than controls; within size stratum the age gap vanishes.

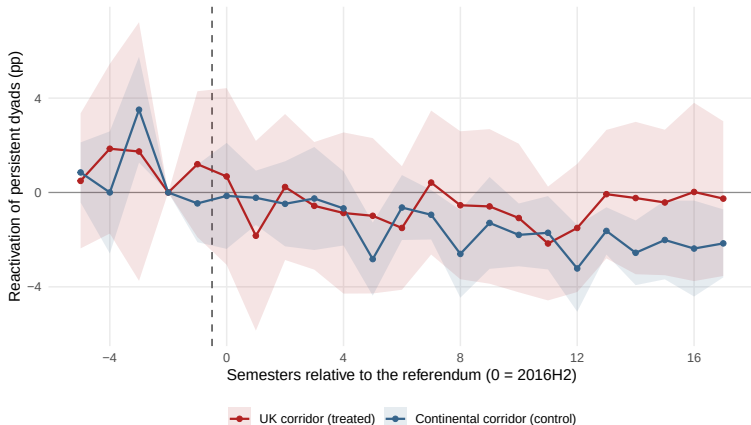
Where the shift happens

The outcome splits exactly into new and continuing partners.

Margin	Estimate (pp)	95% CI	Base
Formation — new British partner	-4.84	[-9.24, -0.18]	15.3%
Continuation — partner already met	-3.36	[-7.16, +0.24]	3.4%
Total	-8.20	[-13.11, -3.15]	18.7%

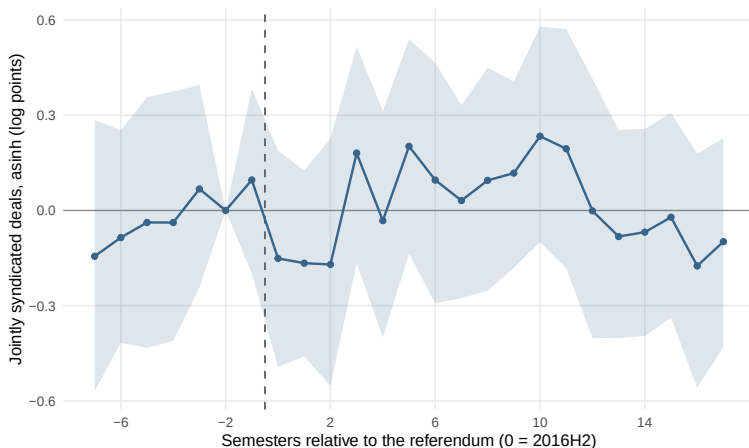
Formation carries 59%. It is also the only margin on which the British corridor separates from the twelve placebos.

Existing pairs did not break



Triple difference: +0.30 pp, $p = 0.767$. The interval excludes any fall greater than a third of the survival rate.

The corridor did not contract



+0.03 log points, $p = 0.81$, CI $[-20\%, +26\%]$ — which rejects the +84% reported by a design without a continental control group.

The activity result fails its own protocol

Exposed investors do look more active. So does everyone else's.

Exposure to	Static (pp)	Window [0, 6]	Verdict
GBR	+6.71	+3.18 ($p = 0.18$)	mixed profile
USA	+7.43	+5.73 ($p = 0.005$)	sustained response
CHE	+5.55	+4.68 ($p < 0.001$)	sustained response
Non-EU OECD	+7.65	+5.41 ($p = 0.016$)	sustained response

The placebos clear the grid the United Kingdom does not, and the UK effect is absent from the window that follows the vote.

No mirror image on the British side

British VCs exposed to the continent show -6.01 points, CI $[-11.52, -0.33]$.

- the interval excludes zero, so this is not a null
- pre-trends fail, so it is not identified either
- the panel's minimum detectable effect (8.5) exceeds the estimate it reports

We report it as not identified, and never as evidence of symmetry.

What the timing rules out

Anticipation and coordination cost both run on uncertainty — so both are strongest while the future is open.

Window	Estimate (pp)	<i>p</i>
H2 2016–2017 (vote)	–5.43	0.064
2018–2019 (no-deal, peak uncertainty)	–7.05	0.008
2020–2021 (exit, agreement)	–10.14	0.000
2022–2025 (settled regime)	–8.94	0.000

The effect is largest after the uncertainty is resolved, and formation is at its lowest in the final window. Both channels survive only if their cost is permanent.

What we cannot say

- **Not compliance.** No rule changed, and the response precedes the legal separation by four and a half years.
- **Not the opportunity set.** Restricting to firms that existed before June 2016 leaves the pattern intact.
- **Not a retreat from foreigners.** Exposure to seven other partner countries is unchanged.
- **Destination unknown.** The British share of new partners falls by five points; no single destination absorbs them detectably.

What remains: boundary realignment, or a constraint upstream at the limited partners.

Takeaways

- ① European VCs reallocated their syndicates away from British partners by 8.2 points, dated on the referendum, before any rule changed.
- ② Volumes, relationships and activity are unchanged: the adjustment is compositional and it operates on partner formation.
- ③ Twelve placebo corridors under an identical protocol do not reproduce it.
- ④ Legal access and observed integration are distinct objects: the rules were intact throughout, and partner choice changed anyway.

Thank you

Comments welcome

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